

where the hopes and dreams are represented by high-volatility and high-beta stocks, could explain the risk anomaly.³³

Hou and Loh (2012) comprehensively examine many explanations of the low volatility anomaly. They arrange their explanations into three broad groups: (i) lottery preferences, (ii) market frictions including illiquidity, and (iii) “other,” which is a broad category that includes uncertainty, short-sales constraints, financial distress, investor inattention, growth options, earnings shocks, and other variables. Hou and Loh find that when individual explanations are taken alone, each explains less than one-tenth of the volatility anomaly. But taken as groups, the most promising explanation is lottery preferences. When individual lottery preference stories are taken together, they explain close to half of the low volatility puzzle. But close to half of the puzzle remains unexplained.

Agents disagreeing with each other (heterogeneous preferences) combined with the inability to short could also account for some of the risk anomaly. Hong and Sraer (2012) show that when disagreement is low and everyone takes long-only positions, the CAPM holds. But when disagreement is high, some agents want to sell short and they cannot. High beta stocks become overpriced. Large enough disagreement causes the relation between beta and returns to be downward sloping.³⁴

5. GM Asset Management and Martingale Redux

Martingale’s low volatility strategy is attractive compared to the market portfolio. It delivers alpha relative to the Russell 1000 benchmark of 1.50% per year. Adjusting the Russell 1000 for risk increases that alpha to 3.44% per year. Alpha is all about the benchmark. What if we changed the benchmark of the Martingale’s strategy to be the low volatility strategy itself? Then, there wouldn’t be any alpha of course, as alpha morphs into the benchmark (or beta, as some in industry like to call it). This is not just philosophical—GM Asset Management might be in a position to internally do low volatility strategies. But low-risk strategies appear to have significant alpha relative to standard market capitalization benchmarks and sophisticated factor benchmarks that control for risk using dynamic value-growth and momentum factors along with the market portfolio.

Yet alpha is not the only consideration for GM Asset Management. Martingale’s alpha comes with high tracking error relative to the Russell 1000 benchmark. In fact, the ubiquitous tracking error constraints employed in

³³ For stories along these lines, see Boyer, Mitton, and Vorkink (2010), Bali, Cakici, and Whitelaw (2011), and Ilmanen (2012).

³⁴ See also Jiang, Xu, and Yao (2009) for the relation between earnings uncertainty and low volatility.